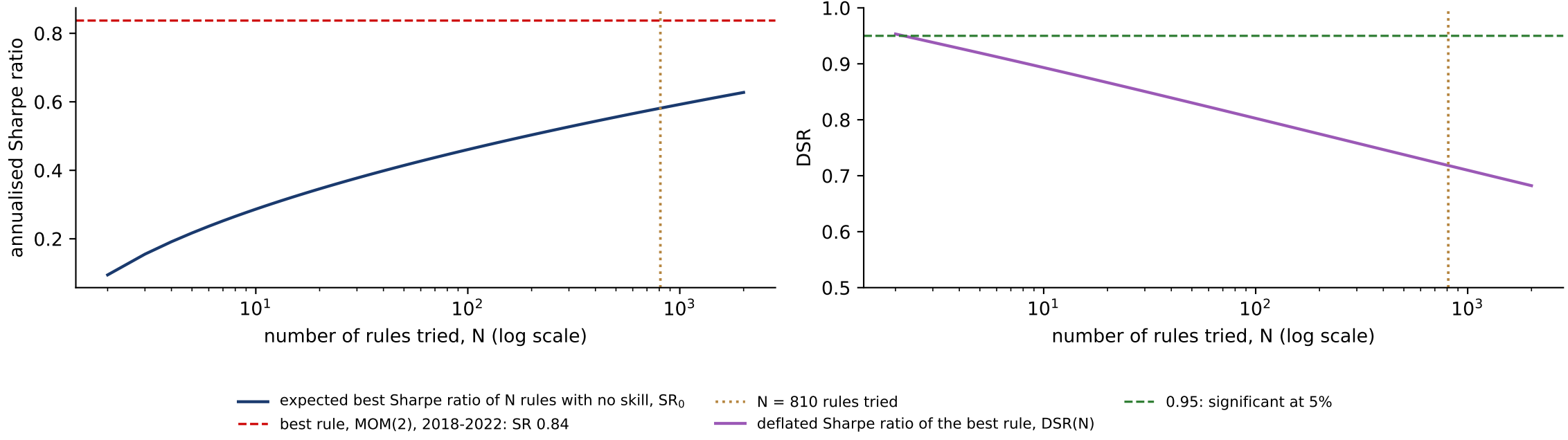
annualised Sharpe ratio
0.8
0.6
0.4
0.2
10^1
10^2
10^3
number of rules tried, N (log scale)
DSR
1.0
0.9
0.8
0.7
0.6
0.5
10^1
10^2
10^3
number of rules tried, N (log scale)
expected best Sharpe ratio of N rules with no skill, SR_0
best rule, MOM(2), 2018-2022: SR 0.84
N = 810 rules tried
deflated Sharpe ratio of the best rule, DSR(N)
0.95: significant at 5%